

China Internet

## Alibaba Group Holding Ltd

Rating

**Outperform**

Price Target

|                                                                                                  |                   |
|--------------------------------------------------------------------------------------------------|-------------------|
|  <b>BABA</b>    | <b>180.00 USD</b> |
|  <b>9988.HK</b> | <b>176.00 HKD</b> |



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## Alibaba Q1: Cloud acceleration continues

**Reshaping the AI narrative.** Alibaba's Q1 results continued the company's tradition of segment reporting changes every other year, combining its e-commerce segments (now also including Freshippo), pulling T-head into the AI Cloud segment, and starting a new AI Labs and Applications segment to help explain the rise in All Other losses in recent quarters. If the e-commerce reorganisation was designed to help present an image of stability, the addition of a second AI segment to include Qwen and surrounding apps will offer interesting colour in future quarters, on top of Alicloud growth (+44.9% in Q1).

**Compute layer AI vs. application layer AI.** Alibaba's earnings release pointed to RMB12.4bn of external AI cloud revenue this quarter, 37.5% higher versus RMB9.0bn in Q4. August MaaS ARR over RMB16bn meanwhile was likely helped by the explosion of open source model progress in recent months. RMB67.7bn of capex in Q1 mirrored Tencent's big jump this quarter, which should help to boost Alicloud revenue growth (over 50% growth was guided in the coming quarters). T-head should contribute too over time, as shipments of its Zhenwu chips ramp up. 15.8% growth in the AI Labs segment chiefly reflected legacy software like Dingtalk and Quark, while go-forward growth will be interesting to track as a measure of Qwen Work traction.

**Lower AI Labs losses should help group estimates.** Alibaba guided confidently on go-forward Alicloud growth as well as margin expansion in the coming quarters. But perhaps the most consequential piece of guidance, as far as group earnings was concerned, related to AI Labs losses, which was guided to moderate in the coming quarters. Further out, the company interestingly noted that post-training costs associated with popular AI models will be partly borne by the AI Cloud segment. Alibaba management talked up 3-year breakeven periods on capex potentially falling to 2-2.5 years, and the contribution of cheaper in-house chips as a contributor to higher Cloud margins over time.

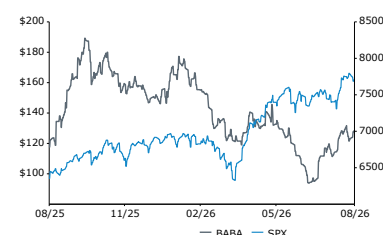
### Investment Implications

**We rate Alibaba Outperform (PT US\$180/HK\$176).**

|                        |                          |
|------------------------|--------------------------|
| Close Date             | 19 Aug 2026              |
| BABA Close Price (USD) | 128.90                   |
| Price Target (USD)     | 180.00                   |
| Upside/(Downside)      | 40%                      |
| 52-Week Range          | 192.67/91.99             |
| SPX                    | 7,707.98                 |
| FYE                    | Mar                      |
| Div Yield              | 0.8%                     |
| Market Cap (USD) (M)   | 309,845                  |
| EV (CNY) (B)           | 1,677.09                 |
| Performance            | YTD 1M 6M 12M            |
| Absolute (%)           | (11.8) 7.4 (16.3) 8.2    |
| SPX (%)                | 12.6 3.4 12.3 20.2       |
| Relative (%)           | (24.4) 4.1 (28.6) (12.0) |

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



| Adjusted EPS  | F25A  | F26E  | F27E         | Financials             | F25A    | F26E    | F27E    | CAGR    | Valuation Metrics | F25A | F26E | F27E |
|---------------|-------|-------|--------------|------------------------|---------|---------|---------|---------|-------------------|------|------|------|
| BABA (CNY)    | 65.41 | 26.82 | <b>45.51</b> | Revenues (M)           | 996,347 | 1,024*  | 1,158*  | 7.8%    | Adjusted P/E (x)  | 13.3 | 32.3 | 19.1 |
| OLD           | --    | --    | 46.57        | Gross Profit (M)       | 398,062 | 407,534 | 375,961 | (2.8)%  | EV/Sales (x)      | 1.7  | 1.6  | 1.4  |
| 9988.HK (HKD) | 8.82  | 3.69  | <b>6.57</b>  | Operating Earnings (M) | 140,905 | 50,150  | 97,431  | (16.8)% | EV/GP (x)         | 4.2  | 4.1  | 4.5  |
| OLD           | --    | --    | 6.68         | Net Earnings (M)       | 157,940 | 64,359  | 110,294 | (16.4)% |                   |      |      |      |

\*Values shown in billions; Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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## DETAILS

### LOW ON SURPRISES, BUT GUIDANCE REMAINS UPBEAT

Alibaba's Q1 result was... fine, if heavily telegraphed into the quarter. Group revenue of RMB269bn in the June quarter was 8.6% higher year on year, while RMB27.3bn of group adjusted EBITA was almost 30% lower year on year - reflecting ongoing (but sequentially narrowing) quick commerce investments, and losses now split across the AI Labs and All Others segments. CMR declined by 7.5% year on year (+1% excluding the movement of marketing expenses contra revenue). Alibaba E-commerce Group saw revenue reach RMB206bn, 3.5% higher year on year, while RMB39.7bn of segment EBITA was flat year on year.

RMB48.4bn of AI Cloud segment revenue was 44.9% higher year on year, within which external revenues grew by a similar magnitude. RMB5.6bn of Alicloud EBITA this quarter was close to our estimate and consensus, and implied an 11.6% EBITA margin. Ascribing the year on year increase in Alibaba's depreciation costs to the AI Cloud segment implied 51.2% incremental EBITDA margin last quarter. RMB67.7bn of capex this quarter was sharply higher quarter, though our discussions with the company suggested this was likely an above-trend quarter.

Exhibit 1 to Exhibit 3 show summaries of Alibaba's Q1 earnings. Exhibit 4 shows a summary of our estimate changes for Alibaba.

#### EXHIBIT 1: Alibaba: Results summary

| Alibaba Q1 FY3/27 results |           |           | Delta         |           | Growth YoY |        |
|---------------------------|-----------|-----------|---------------|-----------|------------|--------|
|                           |           | Q1 FY3/27 | vs. Bernstein | vs. Cons. | Actual     | Cons.  |
| Revenue                   | Actual    | 268,953   | -0.4%         | 0.2%      | 8.6%       | 8.4%   |
|                           | Bernstein | 270,110   |               |           |            |        |
|                           | Consensus | 268,517   |               |           |            |        |
| Gross profit              | Actual    | 102,857   | 14.6%         | -6.0%     | -7.5%      | -1.7%  |
|                           | Bernstein | 89,784    |               |           |            |        |
|                           | Consensus | 109,387   |               |           |            |        |
| Gross margin              | Actual    | 38.2%     | 5.0%          | -2.5%     | -6.7%      | -4.2%  |
|                           | Bernstein | 33.2%     |               |           |            |        |
|                           | Consensus | 40.7%     |               |           |            |        |
| Adjusted EBITA            | Actual    | 27,329    | 2.6%          | 2.8%      | -29.6%     | -31.5% |
|                           | Bernstein | 26,646    |               |           |            |        |
|                           | Consensus | 26,591    |               |           |            |        |
| Adjusted EBITA margin     | Actual    | 10.2%     | 0.3%          | 0.3%      | -5.5%      | -5.8%  |
|                           | Bernstein | 9.9%      |               |           |            |        |
|                           | Consensus | 9.9%      |               |           |            |        |
| Non-GAAP net profit       | Actual    | 20,715    | -20.9%        | -19.0%    | -38.2%     | -23.7% |
|                           | Bernstein | 26,185    |               |           |            |        |
|                           | Consensus | 25,576    |               |           |            |        |
| Non-GAAP EPS              | Actual    | 8.52      | -26.9%        | -24.4%    | -42.2%     | -23.6% |
|                           | Bernstein | 11.66     |               |           |            |        |
|                           | Consensus | 11.28     |               |           |            |        |

Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 2: **Alibaba: Segment revenue summary**

| <u>Alibaba segment revenue summary</u> | Actual<br>Q1 FY3/27 | Growth<br>YoY | Bernstein<br>Q1 FY3/27 | Delta        | Consensus<br>Q1 FY3/27 | Delta       |
|----------------------------------------|---------------------|---------------|------------------------|--------------|------------------------|-------------|
| <b>Total revenue</b>                   | <b>268,953</b>      | <b>8.6%</b>   | <b>270,110</b>         | <b>-0.4%</b> | <b>268,517</b>         | <b>0.2%</b> |
| <b>Alibaba E-commerce Group</b>        | <b>205,862</b>      | <b>3.5%</b>   |                        |              |                        |             |
| China E-commerce                       | 110,900             | -8.3%         |                        |              |                        |             |
| Customer management                    | 82,547              | -7.5%         | 82,300                 | 0.3%         | 85,785                 | -3.8%       |
| Direct sales, logistics and others     | 28,353              | -10.5%        | 30,498                 | -7.0%        | 29,678                 | -4.5%       |
| China Quick Commerce                   | 53,295              | 45.1%         | 54,063                 | -1.4%        | 22,318                 | 138.8%      |
| International E-commerce               | 27,761              | -1.5%         |                        |              |                        |             |
| Global Wholesale                       | 13,906              | 6.7%          |                        |              |                        |             |
| <b>AI Cloud and Compute Services</b>   | <b>48,437</b>       | <b>44.9%</b>  | <b>48,829</b>          | <b>-0.8%</b> | <b>47,500</b>          | <b>2.0%</b> |
| <b>AI Labs and Applications</b>        | <b>3,338</b>        | <b>15.8%</b>  |                        |              |                        |             |
| <b>All others</b>                      | <b>28,803</b>       | <b>0.6%</b>   |                        |              |                        |             |
| Unallocated                            | 783                 | 50.9%         |                        |              |                        |             |
| Consolidation adjustments              | -18,270             | -10.0%        |                        |              |                        |             |

Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 3: **Alibaba: Segment EBITA summary**

| <u>Alibaba segment EBITA summary</u> | Actual<br>Q1 FY3/27 | Adj. EBITA<br>margin | Bernstein<br>Q1 FY3/27 | Delta        | Consensus<br>Q1 FY3/27 | Delta       |
|--------------------------------------|---------------------|----------------------|------------------------|--------------|------------------------|-------------|
| <b>Total EBITA</b>                   | <b>27,329</b>       | <b>10.2%</b>         | <b>26,646</b>          | <b>2.6%</b>  | <b>26,591</b>          | <b>2.8%</b> |
| <b>Alibaba E-commerce Group</b>      | <b>39,749</b>       | <b>19.3%</b>         |                        |              |                        |             |
| <b>AI Cloud and Compute Services</b> | <b>5,628</b>        | <b>11.6%</b>         | <b>5,889</b>           | <b>-4.4%</b> | <b>5,144</b>           | <b>9.4%</b> |
| <b>AI Labs and Applications</b>      | <b>-13,861</b>      | <b>-415.2%</b>       |                        |              |                        |             |
| <b>All others</b>                    | <b>-3,343</b>       | <b>-11.6%</b>        |                        |              |                        |             |
| Unallocated                          | -163                | -20.8%               |                        |              |                        |             |
| Consolidation adjustments            | -681                | 3.7%                 |                        |              |                        |             |

Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 4: **Alibaba: Summary of estimate changes**

| Alibaba: summary of estimate changes | FY3/27E          | FY3/28E          | FY3/29E          |
|--------------------------------------|------------------|------------------|------------------|
| <b>Revenue (RMB mn)</b>              |                  |                  |                  |
| <b>Bernstein - old</b>               | <b>1,121,987</b> | <b>1,221,625</b> | <b>1,311,121</b> |
| Growth YoY                           | 9.6%             | 8.9%             | 7.3%             |
| <b>Bernstein - new</b>               | <b>1,158,170</b> | <b>1,298,169</b> | <b>1,420,398</b> |
| Growth YoY                           | 13.1%            | 12.1%            | 9.4%             |
| <b>Consensus</b>                     | <b>1,125,193</b> | <b>1,258,302</b> | <b>1,420,446</b> |
| Growth YoY                           | 9.9%             | 11.8%            | 12.9%            |
| <b>New vs. old</b>                   | <b>3.2%</b>      | <b>6.3%</b>      | <b>8.3%</b>      |
| <b>New vs. consensus</b>             | <b>2.9%</b>      | <b>3.2%</b>      | <b>0.0%</b>      |
| <b>Non-GAAP EBITA (RMB mn)</b>       |                  |                  |                  |
| <b>Bernstein - old</b>               | <b>97,348</b>    | <b>125,140</b>   | <b>146,129</b>   |
| Growth YoY                           | 27.4%            | 28.5%            | 16.8%            |
| Margin                               | 8.7%             | 10.2%            | 11.1%            |
| <b>Bernstein - new</b>               | <b>125,259</b>   | <b>168,187</b>   | <b>190,693</b>   |
| Growth YoY                           | 63.9%            | 34.3%            | 13.4%            |
| Margin                               | 10.8%            | 13.0%            | 13.4%            |
| <b>Consensus</b>                     | <b>112,528</b>   | <b>163,597</b>   | <b>212,255</b>   |
| Growth YoY                           | 47.3%            | 45.4%            | 29.7%            |
| Margin                               | 10.0%            | 13.0%            | 14.9%            |
| <b>New vs. old</b>                   | <b>28.7%</b>     | <b>34.4%</b>     | <b>30.5%</b>     |
| <b>New vs. consensus</b>             | <b>11.3%</b>     | <b>2.8%</b>      | <b>-10.2%</b>    |
| <b>Non-GAAP diluted EPS (RMB)</b>    |                  |                  |                  |
| <b>Bernstein - old</b>               | <b>45.09</b>     | <b>55.04</b>     | <b>61.80</b>     |
| Growth YoY                           | 68.1%            | 22.1%            | 12.3%            |
| <b>Bernstein - new</b>               | <b>45.51</b>     | <b>62.54</b>     | <b>69.38</b>     |
| Growth YoY                           | 69.7%            | 37.4%            | 10.9%            |
| <b>Consensus</b>                     | <b>46.53</b>     | <b>62.12</b>     | <b>75.64</b>     |
| Growth YoY                           | 73.5%            | 33.5%            | 21.8%            |
| <b>New vs. old</b>                   | <b>0.9%</b>      | <b>13.6%</b>     | <b>12.3%</b>     |
| <b>New vs. consensus</b>             | <b>-2.2%</b>     | <b>0.7%</b>      | <b>-8.3%</b>     |

Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

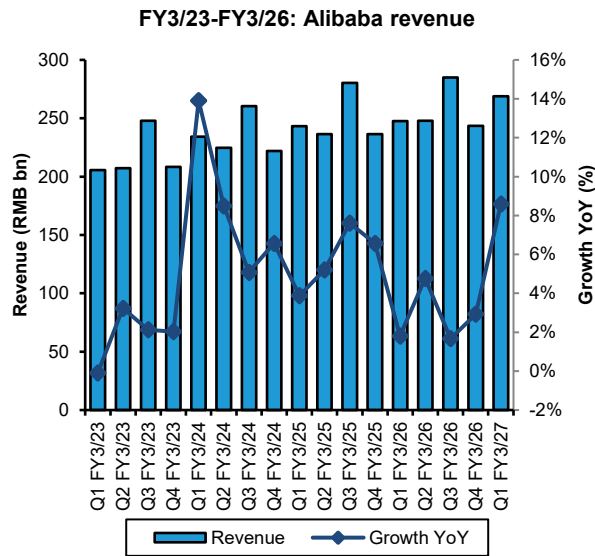
EXHIBIT 5: **Alibaba: SOTP valuation**

| FY+1                                              | Base             | Bull             | Bear             |
|---------------------------------------------------|------------------|------------------|------------------|
| <b>China E-commerce Group</b>                     |                  |                  |                  |
| <b>FY+1 GMV (RMB bn)</b>                          | <b>8,926</b>     | <b>9,372</b>     | <b>8,479</b>     |
| EBITA / GMV                                       | 2.1%             | 2.4%             | 1.2%             |
| <b>EBITA</b>                                      | <b>189,057</b>   | <b>224,924</b>   | <b>101,752</b>   |
| Less: income tax @ 20%                            | -37,811          | -44,985          | -20,350          |
| <b>NOPAT</b>                                      | <b>151,246</b>   | <b>179,940</b>   | <b>81,401</b>    |
| FY+1 PE multiple                                  | 9.0x             | 10.0x            | 6.0x             |
| <b>Core e-commerce equity value</b>               | <b>1,361,212</b> | <b>1,799,396</b> | <b>488,407</b>   |
| <b>Cloud</b>                                      |                  |                  |                  |
| External Cloud revenue in FY+1                    | 279,202          | 307,122          | 251,282          |
| Implied FY+1 PE multiple                          | 55.8x            | 60.3x            | 40.4x            |
| FY+1 P/S multiple                                 | 6.0x             | 7.0x             | 4.0x             |
| <b>Cloud equity value</b>                         | <b>1,675,213</b> | <b>2,149,856</b> | <b>1,005,128</b> |
| <b>Group equity value (US\$ mn) - FY+1</b>        | <b>440,259</b>   | <b>572,613</b>   | <b>216,552</b>   |
| <b>Group equity value per share (US\$) - FY+1</b> | <b>182</b>       | <b>237</b>       | <b>90</b>        |

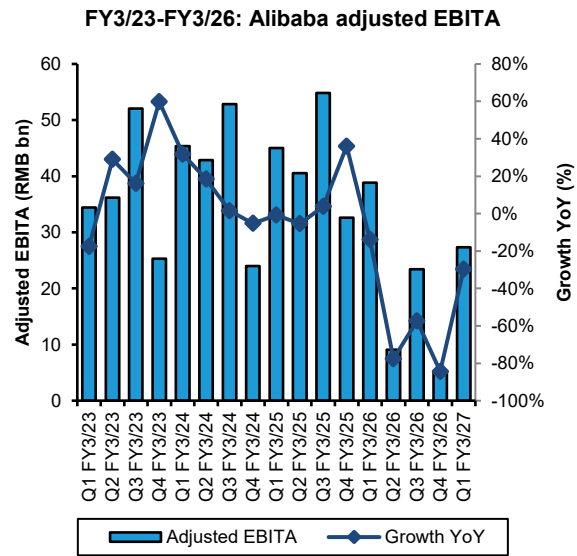
Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

**Q1 FY27 REPORTING IN CHARTS**

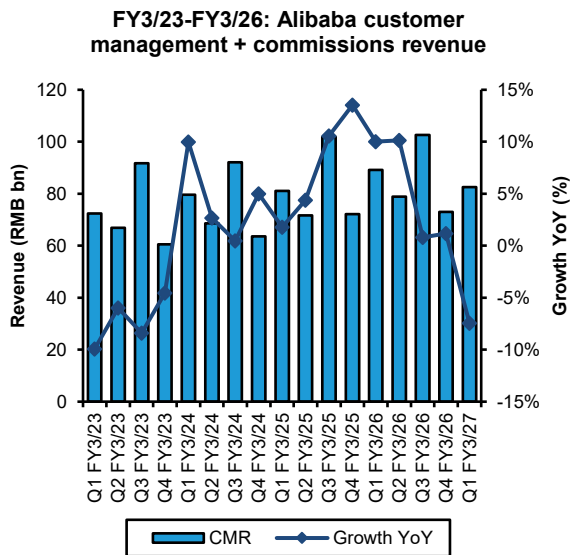
Exhibit 6 to Exhibit 11 summarise the key quarterly data points we track for the company.

**EXHIBIT 6: Alibaba Group revenue grew 8.6% year on year in Q1 FY3/27 to RMB269.0bn**

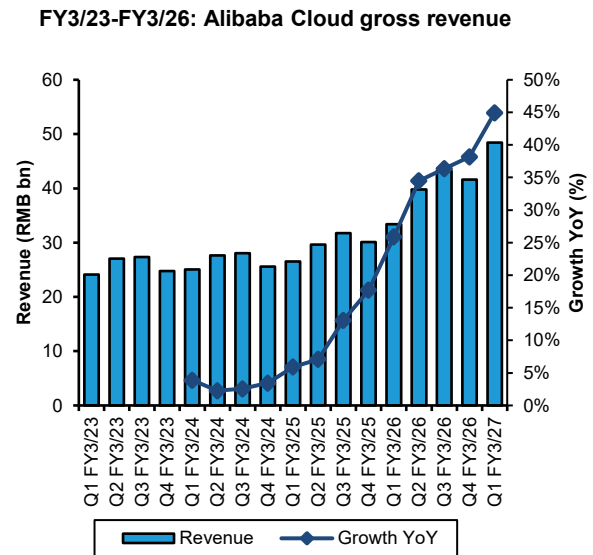
Source: Corporate reports and Bernstein analysis.

**EXHIBIT 7: Adjusted EBITA came to RMB27.3bn in Q1 FY3/27, down 30% year on year**

Source: Corporate reports and Bernstein analysis.

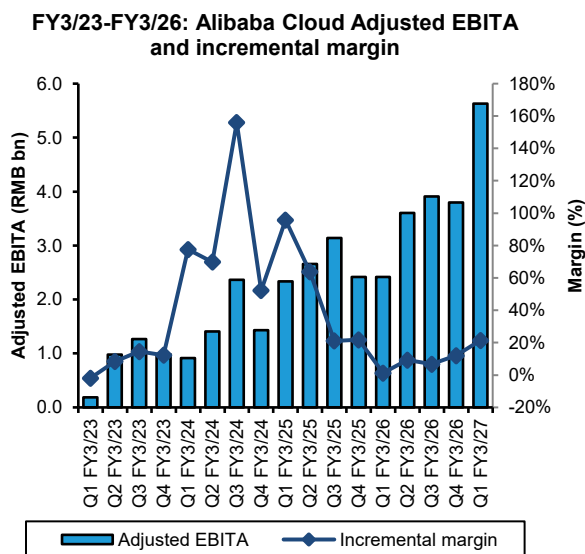
**EXHIBIT 8: Customer management and commission revenue declined 7.5% year on year to RMB82.5bn**

Source: Corporate reports and Bernstein analysis.

**EXHIBIT 9: Cloud gross revenue grew 45% to RMB48.4bn in the quarter**

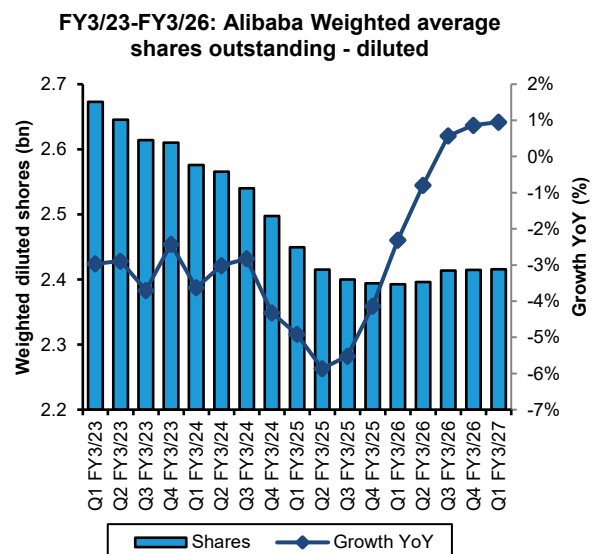
Source: Corporate reports and Bernstein analysis.

EXHIBIT 10: **Alibaba Cloud adj. EBITA was RMB5.6bn, implying a 21% incremental margin**



Source: Corporate reports and Bernstein analysis.

EXHIBIT 11: **Alibaba's number of shares increased 1% in Q1 FY3/27**



Source: Corporate reports and Bernstein analysis.

## APPENDIX - FINANCIAL FORECASTS

## EXHIBIT 12: Alibaba: Income Statement

| RMB million                           | FY3/22         | FY3/23         | FY3/24         | FY3/25         | FY3/26         | FY3/27E        | FY3/28E        | FY3/29E        |
|---------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
| Revenue                               | 853,062        | 868,687        | 941,168        | 996,347        | 1,023,670      | 1,158,170      | 1,298,169      | 1,420,398      |
| <b>Gross profit</b>                   | <b>313,612</b> | <b>318,992</b> | <b>354,845</b> | <b>398,062</b> | <b>407,534</b> | <b>375,961</b> | <b>437,077</b> | <b>478,276</b> |
| Product development expenses          | -55,465        | -56,744        | -52,256        | -57,151        | -66,533        | -81,549        | -91,306        | -99,662        |
| Sales & marketing expenses            | -119,799       | -103,496       | -115,141       | -144,021       | -245,023       | -146,601       | -146,895       | -153,473       |
| General and administrative expenses   | -31,922        | -42,183        | -41,985        | -44,239        | -33,082        | -42,073        | -46,996        | -51,145        |
| Other income/expenses, net            | -36,788        | -16,218        | -32,113        | -11,746        | -12,746        | -8,307         | -4,566         | -4,637         |
| <b>Operating profit</b>               | <b>69,638</b>  | <b>100,351</b> | <b>113,350</b> | <b>140,905</b> | <b>50,150</b>  | <b>97,431</b>  | <b>147,315</b> | <b>169,360</b> |
| <b>Non-GAAP EBITA</b>                 | <b>130,397</b> | <b>147,400</b> | <b>165,028</b> | <b>173,065</b> | <b>76,416</b>  | <b>125,259</b> | <b>168,187</b> | <b>190,693</b> |
| Adjusted EBITDA                       | 158,205        | 175,199        | 191,668        | 202,325        | 113,483        | 179,311        | 246,280        | 298,830        |
| Profit before tax                     | 59,550         | 89,185         | 101,596        | 155,455        | 129,387        | 100,097        | 139,756        | 160,157        |
| Income tax expense                    | -26,815        | -15,549        | -22,529        | -35,445        | -30,045        | -27,750        | -25,701        | -29,038        |
| Share of results of equity investees  | 14,344         | -8,063         | -7,735         | 5,966          | 2,785          | 1,855          | 2,142          | 2,879          |
| Net income                            | 47,079         | 65,573         | 71,332         | 125,976        | 102,127        | 74,202         | 116,198        | 133,998        |
| <b>Net profit attributable to SHs</b> | <b>61,959</b>  | <b>72,509</b>  | <b>79,741</b>  | <b>129,470</b> | <b>105,904</b> | <b>74,805</b>  | <b>116,878</b> | <b>134,678</b> |
| <b>Non-GAAP net profit to SHs</b>     | <b>143,968</b> | <b>143,991</b> | <b>158,359</b> | <b>157,940</b> | <b>64,359</b>  | <b>110,294</b> | <b>152,785</b> | <b>170,881</b> |
| Diluted EPS (RMB)                     | 22.74          | 27.46          | 31.24          | 53.59          | 43.02          | 30.21          | 47.84          | 54.68          |
| <b>Non-GAAP diluted EPS (RMB)</b>     | <b>52.86</b>   | <b>54.56</b>   | <b>62.23</b>   | <b>65.41</b>   | <b>26.82</b>   | <b>45.51</b>   | <b>62.54</b>   | <b>69.38</b>   |

Source: Corporate reports, Bernstein estimates and analysis.

## EXHIBIT 13: Alibaba: Cash Flow Statement

| RMB million                         | FY3/22          | FY3/23          | FY3/24          | FY3/25          | FY3/26         | FY3/27E         | FY3/28E         | FY3/29E         |
|-------------------------------------|-----------------|-----------------|-----------------|-----------------|----------------|-----------------|-----------------|-----------------|
| <b>Profit before tax</b>            | <b>59,550</b>   | <b>89,185</b>   | <b>101,596</b>  | <b>155,455</b>  | <b>129,387</b> | <b>100,097</b>  | <b>139,756</b>  | <b>160,157</b>  |
| Stock-based compensation            | 23,971          | 30,831          | 18,546          | 13,970          | 11,180         | 15,149          | 16,306          | 16,697          |
| Depreciation & amortization         | 48,065          | 41,303          | 48,232          | 35,596          | 42,146         | 58,190          | 82,659          | 112,774         |
| Changes in working capital          | -31,477         | 7,065           | 12,957          | -38,361         | -14,272        | 54,396          | 77,773          | 102,658         |
| Taxes, other adjustments            | 42,650          | 31,368          | 1,262           | -3,151          | -92,228        | -38,490         | -25,701         | -29,038         |
| <b>Cash flow from operations</b>    | <b>142,759</b>  | <b>199,752</b>  | <b>182,593</b>  | <b>163,509</b>  | <b>76,213</b>  | <b>189,342</b>  | <b>290,794</b>  | <b>363,247</b>  |
| Capex                               | -53,309         | -35,352         | -24,085         | -84,278         | -122,021       | -252,660        | -280,000        | -280,000        |
| Additions of intangibles            | -15             | -22             | -842            | 0               | 0              | -3,106          | -4,623          | -5,190          |
| Other                               | -145,268        | -100,132        | 3,103           | -101,137        | 54,685         | -20,130         | -93,936         | -92,674         |
| <b>Cash flow from investments</b>   | <b>-198,592</b> | <b>-135,506</b> | <b>-21,824</b>  | <b>-185,415</b> | <b>-67,336</b> | <b>-275,897</b> | <b>-378,560</b> | <b>-377,863</b> |
| <b>Cash flow from financing</b>     | <b>-64,449</b>  | <b>-65,619</b>  | <b>-108,244</b> | <b>-76,215</b>  | <b>-20,573</b> | <b>108,072</b>  | <b>31,373</b>   | <b>10,810</b>   |
| Net effect of exchange rate changes | -8,834          | 3,530           | 4,389           | 965             | -4,004         | -1,519          | 0               | 0               |
| <b>Net change in cash</b>           | <b>-129,116</b> | <b>2,157</b>    | <b>56,914</b>   | <b>-97,156</b>  | <b>-15,700</b> | <b>19,999</b>   | <b>-56,393</b>  | <b>-3,807</b>   |
| Beginning cash                      | 356,469         | 227,353         | 229,510         | 286,424         | 189,268        | 173,568         | 193,567         | 137,174         |
| <b>Ending cash</b>                  | <b>227,353</b>  | <b>229,510</b>  | <b>286,424</b>  | <b>189,268</b>  | <b>173,568</b> | <b>193,567</b>  | <b>137,174</b>  | <b>133,367</b>  |

Source: Corporate reports, Bernstein estimates and analysis.

## EXHIBIT 14: Alibaba: Balance Sheet

| RMB million                                         | FY3/22           | FY3/23           | FY3/24           | FY3/25           | FY3/26           | FY3/27E          | FY3/28E          | FY3/29E          |
|-----------------------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| Cash and cash equivalents                           | 189,898          | 193,086          | 248,125          | 145,487          | 131,530          | 146,084          | 85,516           | 76,540           |
| Short term investments                              | 256,514          | 326,492          | 262,955          | 228,826          | 155,310          | 154,653          | 154,653          | 154,653          |
| Prepayments, receivables and other assets           | 192,123          | 178,388          | 241,784          | 299,736          | 323,929          | 454,111          | 492,909          | 529,564          |
| <b>Total current assets</b>                         | <b>638,535</b>   | <b>697,966</b>   | <b>752,864</b>   | <b>674,049</b>   | <b>610,769</b>   | <b>754,849</b>   | <b>733,078</b>   | <b>760,757</b>   |
| Prepayments, receivables and other assets           | 113,147          | 110,926          | 116,102          | 83,431           | 94,996           | 128,203          | 142,139          | 154,813          |
| Property and equipment, net                         | 171,806          | 176,031          | 185,161          | 203,348          | 282,699          | 455,259          | 657,165          | 829,028          |
| Intangible assets, net                              | 59,231           | 46,913           | 26,950           | 20,911           | 16,983           | 16,334           | 16,391           | 16,944           |
| Other non-current assets                            | 712,834          | 721,208          | 683,752          | 822,488          | 904,123          | 849,602          | 931,744          | 1,014,624        |
| <b>Total assets</b>                                 | <b>1,695,553</b> | <b>1,753,044</b> | <b>1,764,829</b> | <b>1,804,227</b> | <b>1,909,570</b> | <b>2,204,246</b> | <b>2,480,519</b> | <b>2,776,167</b> |
| Short-term debt                                     | 8,841            | 12,266           | 29,001           | 22,562           | 28,224           | 128,203          | 142,139          | 154,813          |
| Accounts payable                                    | 293,213          | 288,493          | 306,951          | 344,175          | 370,523          | 482,962          | 587,248          | 713,217          |
| Merchant deposits                                   | 14,747           | 13,297           | 12,737           | 274              | 236              | 248              | 259              | 271              |
| Other current liabilities                           | 66,983           | 71,295           | 72,818           | 68,335           | 77,415           | 86,023           | 94,120           | 102,282          |
| <b>Total current liabilities</b>                    | <b>383,784</b>   | <b>385,351</b>   | <b>421,507</b>   | <b>435,346</b>   | <b>476,398</b>   | <b>697,435</b>   | <b>823,766</b>   | <b>970,584</b>   |
| Long-term debt                                      | 132,503          | 149,088          | 141,775          | 172,307          | 164,935          | 195,632          | 231,933          | 259,542          |
| Other long-term liabilities                         | 97,073           | 95,684           | 88,948           | 106,468          | 141,967          | 144,826          | 145,308          | 145,807          |
| <b>Total liabilities</b>                            | <b>613,360</b>   | <b>630,123</b>   | <b>652,230</b>   | <b>714,121</b>   | <b>783,300</b>   | <b>1,037,893</b> | <b>1,201,008</b> | <b>1,375,933</b> |
| <b>Shareholders' equity</b>                         | <b>1,082,193</b> | <b>1,122,921</b> | <b>1,112,599</b> | <b>1,090,106</b> | <b>1,126,270</b> | <b>1,166,353</b> | <b>1,279,511</b> | <b>1,400,234</b> |
| <b>Total liabilities &amp; shareholders' equity</b> | <b>1,695,553</b> | <b>1,753,044</b> | <b>1,764,829</b> | <b>1,804,227</b> | <b>1,909,570</b> | <b>2,204,246</b> | <b>2,480,519</b> | <b>2,776,167</b> |

Source: Corporate reports, Bernstein estimates and analysis.

## BERNSTEIN TICKER TABLE

| Ticker            | Rating | Cur | 19 Aug<br>2026   | Price<br>Target | TTM           | Adjusted EPS |       |       |              | Adjusted P/E (x) |       |       |
|-------------------|--------|-----|------------------|-----------------|---------------|--------------|-------|-------|--------------|------------------|-------|-------|
|                   |        |     | Closing<br>Price |                 | Rel.<br>Perf. | Cur          | 2025A | 2026E | 2027E        | 2025A            | 2026E | 2027E |
| BABA (Alibaba )   | O      | USD | 128.90           | 180.00          | (12.0)%       | CNY          | 65.41 | 26.82 | <b>45.51</b> | 13.3             | 32.3  | 19.1  |
| OLD               |        |     |                  |                 |               |              |       |       | 46.57        |                  |       |       |
| 9988.HK (Alibaba) | O      | HKD | 126.20           | 176.00          | (20.0)%       | HKD          | 8.82  | 3.69  | <b>6.57</b>  | 12.3             | 29.4  | 16.5  |
| OLD               |        |     |                  |                 |               |              |       |       | 6.68         |                  |       |       |
| SPX               |        |     | 7,707.98         |                 |               |              |       |       |              |                  |       |       |
| ASIAX             |        |     | 1,922.63         |                 |               |              |       |       |              |                  |       |       |

## ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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**VALUATION METHODOLOGY****Alibaba Group Holding Ltd**

We value Alibaba at US\$180/HK\$176 per share, based on our SOTP valuation for FY+1 revenues and profits in its core e-commerce and Cloud businesses.

**RISKS****Alibaba Group Holding Ltd**

The main downside risks associated with our price target for Alibaba include macroeconomic risks (e.g. credit, retail consumption), fluctuations in user engagement with Taobao, Tmall, and other platforms, competition with rival internet platforms, regulatory risks – for example related to China's anti-monopoly regulations, and losses in the company's innovation initiatives & others segment.

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Autonomous credit ratings are based on a 6-month time horizon.

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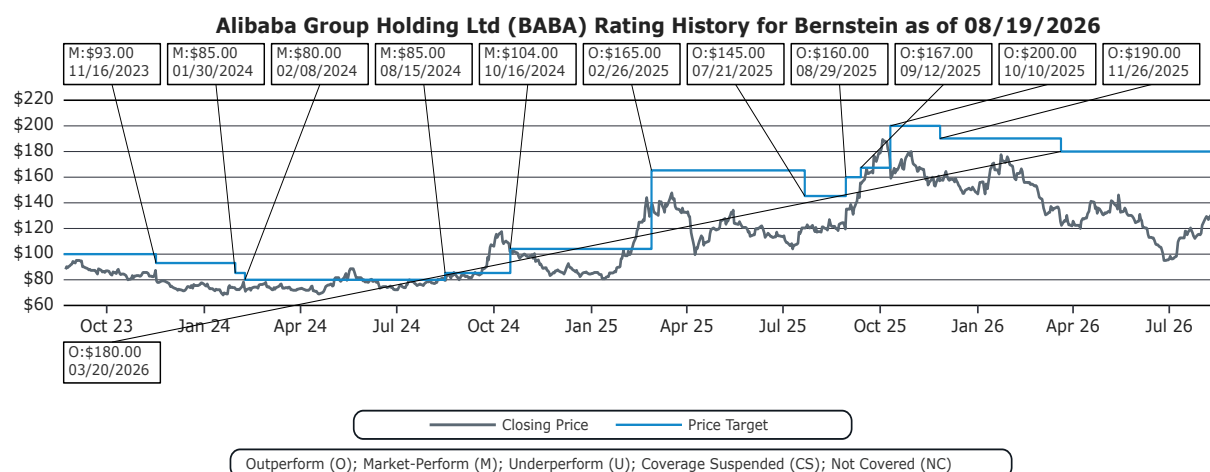
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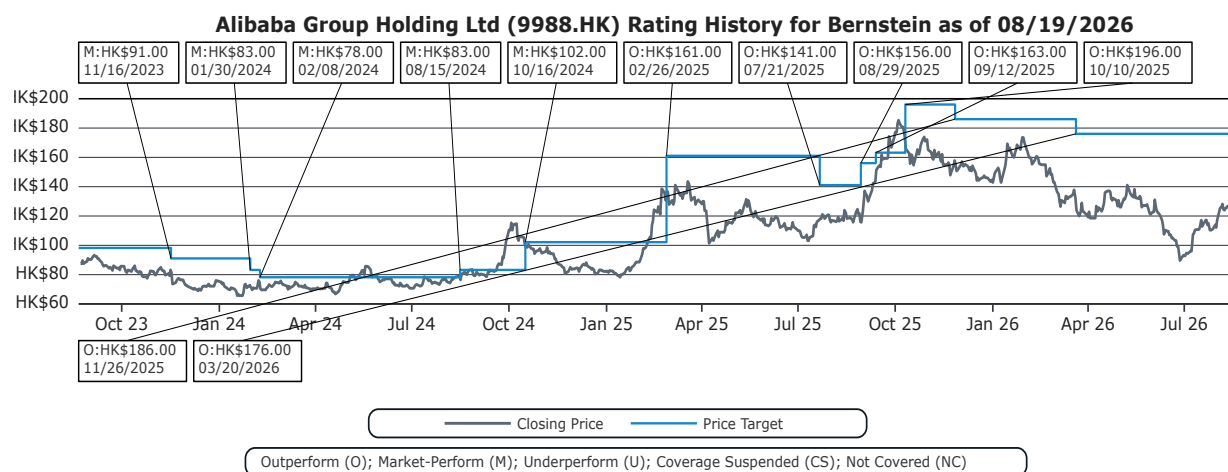
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| Market-Perform (Bernstein Brand)<br>Neutral (Autonomous Brand) | HOLD                                                    | 35.8%                      | 16.2%                             |
| Underperform                                                   | SELL                                                    | 13.1%                      | 13.6%                             |

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